Dolph Research

EQUITY RESEARCH NOTE

GameStop Corp.

STANDALONE MARCH 10, 2026

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

EXECUTIVE SUMMARY

GAMESTOP CORP.

Executive Summary

GME closes 2025-02-01 with $3.82B of revenue (-27.5% YoY) and $131M of net income (1859.7% YoY). The period ended with an operating margin of -0.7% and a net margin of 3.4%, which frames how much of the reported scale translated into retained profitability. Earnings held up better than revenue, suggesting that expense control or mix changes partially offset the softer top line.

Operating cash flow reached $146M versus -$204M in the prior period, and after $16M of capital spending the business produced $130M of free cash flow versus -$239M in the prior period. Capital spending absorbed 0.4% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

Liquidity and leverage are both relatively manageable, with a current ratio of 8.05x and debt-to-equity of 0.01x. The quick ratio of 7.33x sits below the current ratio, indicating that inventory or other less-liquid current assets carry part of the coverage burden.

REVENUE	NET INCOME	OPERATING MARGIN	FREE CASH FLOW
$3.82B	$131M	-0.7%	$130M
-27.5%	1859.7%	4.7%	NM

Snapshot Scorecard

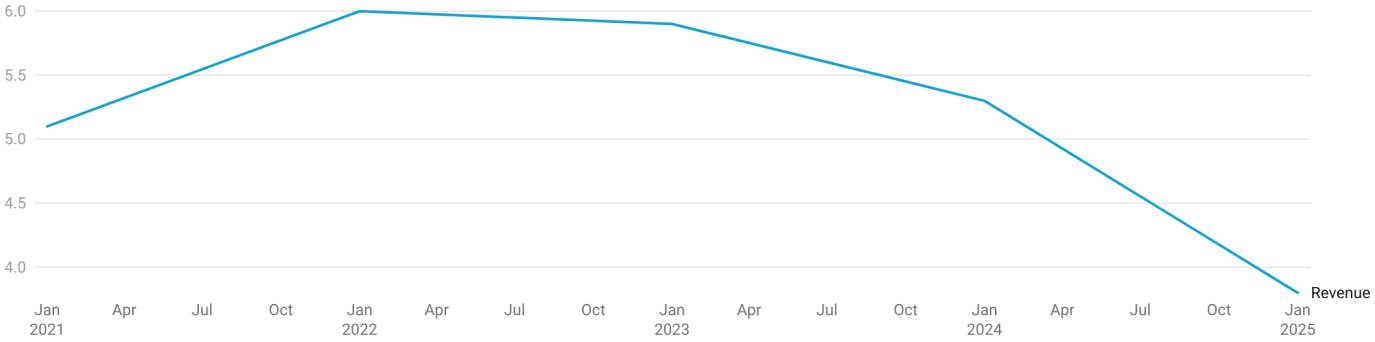
METRIC	CURRENT	PRIOR	CHANGE
Revenue	$3.82B	$5.27B	-27.5%
Net Income	$131M	$6.7M	1859.7%
Operating Margin	-0.7%	-0.7%	4.7%
Debt-to-Equity	0.01x	0.03x	-81.2%
Current Ratio	8.05x	2.11x	280.9%
Free Cash Flow	$130M	-$239M	NM

Visual Highlights

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Revenue Trend

Annual revenue, USD, billions.



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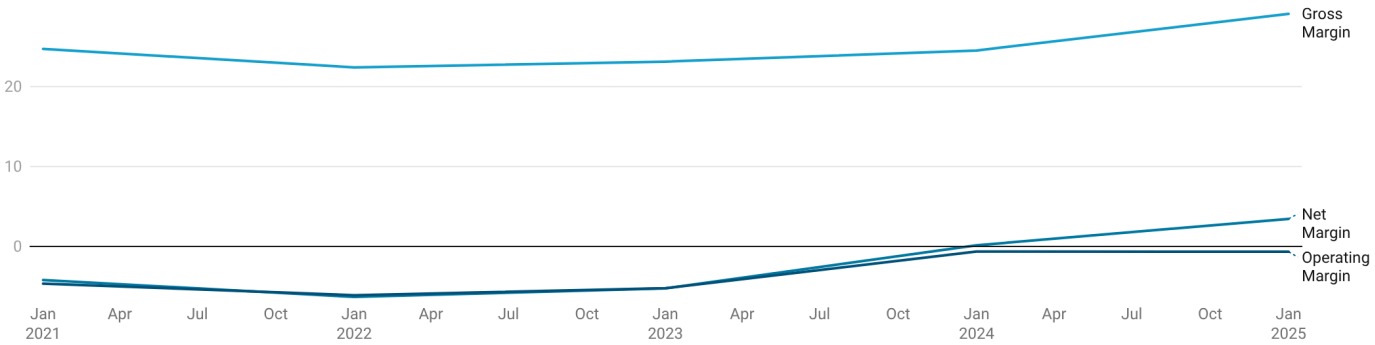
Margin Trend

Gross, operating, and net margin where available, percent.



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Visual Highlights (Cont.)

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Cash Flow Profile

Current year earnings, operating cash flow, capital spending, and free cash flow, USD, millions.

Balance Sheet Posture

Current year balance-sheet scale, capital structure, and liquidity, USD, billions.

Visual Highlights (Cont.)

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Liquidity and Leverage

Current year liquidity and leverage ratios.

Return Profile

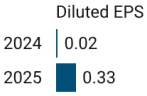
Current year return metrics, percent.

Visual Highlights (Cont.)

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Per-Share Metrics

Current and prior diluted EPS and book value per share.



Key Metrics Dashboard

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Profitability

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Gross Profit	$1.11B	$1.29B	-13.9%
Return on Equity	4.2%	0.5%	731.9%
Return on Assets	3.1%	0.2%	1229.2%
Gross Margin	29.1%	24.5%	18.7%
Operating Margin	-0.7%	-0.7%	4.7%
Net Margin	3.4%	0.1%	NM
Earnings Per Share (Diluted)	$0.33	$0.02	1550.0%

Liquidity & Leverage (1/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Current Assets	$5.36B	$1.97B	171.2%
Current Liabilities	$665M	$935M	-28.8%
Cash & Equivalents	$4.76B	$922M	416.1%
Cash, Cash Equivalents & Restricted Cash	$4.79B	$939M	410.2%
Restricted Cash	$3.3M	$3.5M	-5.7%
Cash, Cash Equivalents & Short-Term Investments	Not reported	Not reported	Not reported
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Marketable Securities	$18M	$278M	-93.5%
Long-Term Debt	$17M	$29M	-40.7%
Short-Term Debt	$10M	$11M	-4.6%
Total Debt	$27M	$39M	-30.8%
Current Ratio	8.05x	2.11x	280.9%
Debt-to-Equity	0.01x	0.03x	-81.2%

Key Metrics Dashboard (Cont.)

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Scale

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Revenue	$3.82B	$5.27B	-27.5%
Gross Profit	$1.11B	$1.29B	-13.9%
Operating Income	-$26M	-$35M	-24.1%
Net Income	$131M	$6.7M	1859.7%
Total Assets	$5.88B	$2.71B	116.9%
Total Liabilities	$946M	$1.37B	-31.0%
Stockholders' Equity	$4.93B	$1.34B	268.3%

Cash Flow & Per Share

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Operating Cash Flow	$146M	-$204M	NM
Cash at End of Period (cash-flow statement)	$4.79B	$939M	410.2%
Capital Expenditures	-$16M	-$35M	-53.9%
Free Cash Flow	$130M	-$239M	NM

Commentary

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

What stands out

Across the annual periods shown here, operating cash flow provides the clearest recurring pattern, with the latest value at $146M and a compound annual growth rate of -6.9%. The decline is gradual, but the direction remains negative across the observed periods. The main trend relationship is one of weaker scale but better operating discipline.

Cash generation remained constructive, with $146M of operating cash flow translating into $130M of free cash flow. Balance-sheet pressure should be read through both leverage (0.01x debt-to-equity) and liquidity (8.05x current ratio), because those measures do not always point to the same conclusion about financial flexibility.

Watch items

The most important risks in the current numbers are concentrated in the areas where profitability, cash generation, or balance-sheet support are not moving together. Revenue declined 27.5% versus prior year.

Analyst interpretation

The most constructive part of GME's profile is straightforward: Current ratio of 8.05x provides a wide cushion against near-term obligations. That matters because leverage (0.01x debt-to-equity), liquidity (8.05x current ratio), and free cash flow ($130M) need to be read together rather than in isolation.

This note is anchored to the annual period ending 2025-02-01, with the prior period set at 2024-02-03. Metrics without the required statement support remain blank rather than estimated, so the analysis stays tied to the filing evidence rather than to gap-filled assumptions.

Appendix

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Appendix A — GME Income Statement

METRIC	FY2025 (FEB)	FY2024 (FEB)
Revenue	$3.82B	$5.27B
Cost of Revenue	$2.71B	$3.98B
Gross Profit	$1.11B	$1.29B
Operating Income	-$26M	-$35M
Net Income	$131M	$6.7M
EPS (Basic)	$0.33	$0.02
EPS (Diluted)	$0.33	$0.02
Weighted Avg Shares (Diluted)	394.7M	305.2M
SG&A Expenses	$1.13B	$1.32B
Pretax Income	$137M	$13M
Income Tax Expense	$5.9M	$6.4M

Appendix B — GME Balance Sheet (Part 1/2)

METRIC	FY2025 (FEB)	FY2024 (FEB)
Shares Outstanding	447.0M	305.7M
Total Assets	$5.88B	$2.71B
Total Liabilities	$946M	$1.37B
Total Stockholders' Equity	$4.93B	$1.34B
Current Assets	$5.36B	$1.97B
Current Liabilities	$665M	$935M
Cash & Equivalents	$4.76B	$922M
Cash, Cash Equivalents & Restricted Cash	$4.79B	$939M
Restricted Cash	$3.3M	$3.5M
Total Debt (derived)	$27M	$39M

Appendix (Cont.)

GME — Current period: 2025-02-01 | Prior period: 2024-02-03

Appendix B — GME Balance Sheet (Part 2/2)

METRIC	FY2025 (FEB)	FY2024 (FEB)
Long-Term Debt	$17M	$29M
Short-Term Debt	$10M	$11M
Inventory	$480M	$633M
Accounts Receivable	$61M	$91M
Marketable Securities	$18M	$278M
Accounts Payable	$149M	$324M
Accrued Expenses	$362M	$412M
Other Current Liabilities	$50M	$49M
Retained Earnings	-$82M	-$213M
AOCI	-$94M	-$84M

Appendix C — GME Cash Flow Statement

METRIC	FY2025 (FEB)	FY2024 (FEB)
Operating Cash Flow	$146M	-$204M
Capital Expenditures	-$16M	-$35M
Investing Cash Flow	$265M	-$33M
Financing Cash Flow	$3.44B	-$12M
Depreciation & Amortization	$38M	$55M
Depreciation	$38M	$55M
Amortization of Intangibles	$500K	$900K
Debt Repayment	Not reported	$0
Net Change in Cash	$3.85B	-$257M
Cash at End of Period (cash-flow statement)	$4.79B	$939M

Data Sources & Notes

TICKER	CIK	ACCESSION	FORM	FILED	PRIMARY DOCUMENT
GME	0001326380	0001628280-25-014731	10-K	2025-03-25	https://www.sec.gov/Archives/edgar/data/1326380/000162828025014731/gme-20250201.htm

Method Notes

Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.

Standalone metrics use the selected current and prior annual periods for the issuer.

The narrative summarizes the filing-backed figures shown elsewhere in the report and does not alter the calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.